 Name _____

Walmart: Reading the Real Financial Statements

Source: Walmart Inc. Form 10-K, fiscal year ended January 31, 2025 (some lines combined; amounts in millions) · sec.gov/Archives/edgar/data/104169/000010416925000021/wmt-20250131.htm

Walmart Inc.
Consolidated Statement of Income

	Fiscal 2025
Net sales	$ 674,538
Membership and other income	6,447
Total revenues	680,985
Cost of sales	511,753
Operating, selling, general & admin. expenses	139,884
Operating income	29,348
Interest, net	2,245
Other (gains) and losses	794
Income before income taxes	26,309
Provision for income taxes	6,152
Net income	$ 20,157

Walmart Inc.
Statement of Retained Earnings

	Fiscal 2025
Retained earnings, Jan 31, 2024	$ 89,814
Add: Net income	20,157
Less: Dividends	(6,688)
Less: Share repurchases and other	(4,970)
Retained earnings, Jan 31, 2025	$ 98,313

Walmart Inc.
Consolidated Balance Sheet

	Jan 31, 2025
Cash and cash equivalents	$ 9,037
Receivables, net	9,975
Inventories	56,435
Prepaid expenses and other	4,011
Total current assets	79,458
Property and equipment, net	119,993
Leases, goodwill and other assets	61,372
Total assets	$ 260,823
Accounts payable	$ 58,666
Accrued and other current liabilities	37,918
Total current liabilities	96,584
Long-term debt	33,401
Lease obligations and other long-term liabilities	33,417
Total liabilities	163,402
Common stock and paid-in capital	6,305
Retained earnings	98,313
Accumulated other comprehensive loss and other	(7,197)
Total equity	97,421
Total liabilities and equity	$ 260,823

Walmart Inc.
Consolidated Statement of Cash Flows

	Fiscal 2025
Operating activities	
Net income	$ 20,157
Depreciation and amortization	12,973
All other operating items, net	3,313
Net cash provided by operating activities	36,443
Investing activities	
Payments for property and equipment	(23,783)
Other investing activities, net	2,404
Net cash used in investing activities	(21,379)
Financing activities	
Dividends paid	(6,688)
Purchase of company stock	(4,494)
Other financing activities, net	(3,640)
Net cash used in financing activities	(14,822)
Effect of exchange rates and other	(1,072)
Net decrease in cash	(830)
Cash, beginning of year	9,867
Cash, end of year	$ 9,037

FIND IT IN THE STATEMENTS

Write the amount ($ millions). Definitions are on the back.

1 How much does Walmart expect to collect from its customers? **9,975**

2 What did the merchandise Walmart sold this year cost it? **511,753**

3 What expense did it record for wages, rent, utilities and advertising? **139,884**

4 What is the cost of the goods still on its shelves and in warehouses? **56,435**

5 How much does it owe suppliers for goods bought on credit? **58,666**

6 What is the government's share of this year's profit? **6,152**

7 What was left of revenue after all expenses this year? **20,157**

8 What expense did it record for using up its buildings and equipment? **12,973**

9 How much cash did its day-to-day business bring in? **36,443**

10 How much cash did it pay for new stores, equipment and technology? **23,783**

11 How much did it pay its shareholders as dividends? **6,688**

12 How much profit has it earned over the years and kept in the business? **98,313**

KEY CONCEPTS (HINTS)

INCOME STATEMENT · A WHOLE YEAR

Revenue (net sales)
What the company earns from selling goods and services, recorded when *earned*.

Cost of sales (cost of goods sold, merchandise costs)
The cost of the inventory that was *sold*. It leaves the balance sheet and becomes an expense.

Operating expenses (SG&A)
Costs of running the business other than the goods: wages, rent, utilities, advertising.

Depreciation
The part of a building's or equipment's cost recorded as an expense each year as it is used up. No cash is paid when it is recorded.

Income tax expense (provision)
The government's share of the profit.

Net income
Revenue minus *all* expenses, including interest and taxes.

STATEMENT OF RETAINED EARNINGS

Retained earnings
Profit earned since the start and kept in the business. Beginning + Net income − Dividends = Ending.

Dividends
Profit paid out to shareholders. Not an expense.

BALANCE SHEET · ONE DATE

Assets = Liabilities + Equity
Everything the company owns is financed by creditors or by owners.

Current assets / current liabilities
Expected to be used up or paid within one year.

Accounts receivable
Amounts customers owe the company, expected to be collected in cash.

Inventory
Goods held for sale, recorded at cost until sold.

Accounts payable
Amounts owed to suppliers for goods or services bought on credit.

STATEMENT OF CASH FLOWS · A WHOLE YEAR

Operating activities
Cash from day-to-day business. Starts with net income and adds back expenses that used no cash, such as depreciation.

Investing activities
Buying and selling long-term assets, such as stores and equipment (capital expenditures).

Financing activities
Cash from or to lenders and owners: borrowing, repaying, dividends, buying back shares.

FINALLY, CALCULATE (USE THE NUMBERS ON THE FRONT)

Gross profit margin
13 = (Net sales − Cost of sales) ÷ Net sales — **24.1%**

Net profit margin
14 = Net income ÷ Total revenue — **3.0%**

Current ratio
15 = Total current assets ÷ Total current liabilities — **0.82**

13: (674,538 − 511,753) ÷ 674,538 = 24.1% · 14: 20,157 ÷ 680,985 = 3.0% · 15: 79,458 ÷ 96,584 = 0.82.
Walmart keeps about 3 cents of every sales dollar as profit. A current ratio below 1 is normal for Walmart: it sells its inventory before it has to pay its suppliers (accounts payable is larger than inventory).

Some lines are combined. Cash flow subtotals and "other" lines are as reported or derived from reported totals. "Effect of exchange rates and other" also includes the change in restricted cash. In retained earnings, "other" includes the share of net income that belongs to minority owners of subsidiaries.